Comment on the Notice of Proposed Rulemaking: Proposal of Special Measure Prohibiting the Transmittal of Funds Regarding Transactions Involving the A7 Network's Sub-Agents

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Introduction and summary

Tokenization Systems is an independent research program that studies the control layer of tokenized money: the functions through which an issuer or intermediary can mint, freeze, redeem, or redirect a token, and the evidence, recorded on the blockchain, of whether those functions are actually used. Tokenization Systems has commented to FinCEN on the anti-money-laundering program rulemaking (FINCEN-2026-0034), on the joint FinCEN and Office of Foreign Assets Control (OFAC) proposal for payment stablecoin issuer anti-money-laundering and sanctions programs (FINCEN-2026-0100), and on the payment stablecoin issuer customer identification program (FINCEN-2026-0101).

Tokenization Systems supports the proposed prohibition. It has no information about the A7 Network beyond the public record, so this comment takes no position on FinCEN's factual findings about it. The comment addresses one part of the proposal: how the prohibition will work for convertible virtual currency (CVC), and in particular for stablecoins.

That part matters more than its length suggests. FinCEN explains that it chose a prohibition on transmittals of funds over the correspondent account measure in part because transactions related to A7A5, the ruble-backed stablecoin the A7 Network created (91 Fed. Reg. 63213), "do not rely on the correspondent banking system" (91 Fed. Reg. 63217). FinCEN also finds that the A7 Network "has most often used the A7A5 tokens as a non-freezable, bridging asset to convert into other, more widely accepted digital assets, such as the stablecoin Tether (USDT)" (91 Fed. Reg. 63214). That finding shows where control is possible. Value moves out of a token FinCEN describes as non-freezable and into tokens whose issuers can freeze an address, and that conversion step is where the United States financial system can act.

The proposal's rules for CVC place nearly all of the work on the receiving institution: it must screen the CVC transfers it sends and receives, and once it has received CVC from a

Sub-Agent, it must block or return that CVC to fall within the proposal's safe harbor. Yet FinCEN itself assesses that "there are few, if any, readily available ways for covered financial institutions to 'reject' incoming CVC transactions (prior to receipt)" (91 Fed. Reg. 63218, note 80). The recommendations below follow one principle: **assign each CVC obligation to the party that can carry it out.** FinCEN controls what its proposed non-public list of Sub-Agents contains. A receiving institution can screen addresses and isolate funds after receipt. Only the issuer of a freezable stablecoin can stop a listed address from moving that stablecoin again.

The timing makes the issuer's role pressing. Proposed section 1010.668(a)(4) gives "covered financial institution" the meaning of "financial institution" in 31 CFR 1010.100(t) (91 Fed. Reg. 63225). FinCEN's pending payment stablecoin issuer rule proposes "to amend the definition of 'financial institution' at 31 CFR 1010.100(t) to expressly include" permitted payment stablecoin issuers, or PPSIs (91 Fed. Reg. 18593). When that rule is final, PPSIs will become covered financial institutions under this rule by cross-reference, without further action, and neither proposal says what this rule then requires of them.

These terms recur below, in plain words:

- **A7 Network and Sub-Agents.** As the proposal uses them: a Russian-Kyrgyzstan based network, and the companies outside the United States that it controls (91 Fed. Reg. 63208, 63225).
- **Address.** The public identifier on a blockchain that sends, receives, and holds tokens.
- **Token contract.** The program on a blockchain that creates and governs a token.
- **Transaction hash.** The unique public identifier of one blockchain transaction.
- **Freeze.** An issuer's action on the blockchain that stops a specific address from moving the issuer's token.
- **Block.** Used alone in this comment: to hold property as OFAC sanctions require, so that no one can use or move it; blocked property is not returned. (The statutory phrase "block, freeze, and reject" uses the word more broadly, for stopping a transaction.)
- **Listed address.** An address on FinCEN's list of Sub-Agents, if the list carries addresses as Recommendation 2 asks.
- **Wrapped or derivative token.** A separate token that stands for another token, often on a different blockchain.
- **Unhosted wallet.** An address its holder controls directly, not through a financial institution.
- **Safe harbor.** This comment's name for proposed section 1010.668(b)(1)(i), which deems an institution not to have violated the prohibition if it takes stated steps after receiving CVC from a Sub-Agent.
- **Primary market and secondary market.** FinCEN and OFAC's terms in the joint payment stablecoin issuer proposal: an issuer dealing directly with a holder, and activity that does not directly involve the issuer as a party (91 Fed. Reg. 18585).
- **Special measures one through five.** The measures in 31 U.S.C. 5318A(b). The fifth restricts correspondent accounts, which banks hold for one another to process

payments, and payable-through accounts.

The five recommendations are mapped below to FinCEN's three questions (Section V.D of the preamble) and to the action requested in the final rule.

Recommendation	Question or provision	Requested final-rule action	Why it matters
1. Adopt the prohibition on transmittals of funds	Question 1	Retain the prohibition under section 9714(a)(2) of the Combating Russian Money Laundering Act rather than special measures one through five.	A7A5 transfers do not pass through correspondent accounts, and special measure five reaches only correspondent and payable-through accounts, a limit the President's Working Group on Digital Asset Markets identified in 2025.
2. Deliver Sub-Agent addresses, not only names, and state the minimum screening expected for CVC	Question 3; proposed 1010.668(a)(2), (b)(1), (b)(4)	Provide in (a)(2) that FinCEN may identify CVC addresses and token contracts; have the list FinCEN shares through its FI-Portal carry each Sub-Agent's known addresses, blockchains, and token contracts in machine-readable form; and state that the prohibition reaches a transmittal sent from or to a listed address.	A blockchain transfer carries addresses, not names, so screening it against names detects nothing.

Recommendation	Question or provision	Requested final-rule action	Why it matters
3. State what the rule requires of payment stablecoin issuers	All aspects; proposed 1010.668(a)(4), (a)(5), (b)(1)	Prohibit a PPSI's primary market transactions for a listed Sub-Agent; require, or at least recognize as compliance, a freeze of a listed address holding the PPSI's stablecoin; state that the rule does not require blanket monitoring of secondary market transfers.	PPSIs become covered institutions by cross-reference, and an issuer is the only party that can stop a listed address from moving its stablecoin again.
4. Put in the regulatory text the preamble's rule that OFAC blocking counts as compliance, and separate blocking from returning in the CVC safe harbor	All aspects; proposed 1010.668(b)(1)(i) and Note 1	Move into the regulatory text the preamble's rule that an institution that blocks property as OFAC requires is deemed to comply with this measure; state separately when to block and when to reject and return; say what to do when return is not feasible; and require prompt action once the institution determines that it received CVC from a Sub-Agent.	As drafted, one reading requires returning blocked property, and the rule for when an OFAC blocking obligation conflicts with this measure appears only in the preamble.
5. Identify CVC transfers by transaction hash in the notice and records, and treat returns and freezes, which are visible on the blockchain, as permitted disclosures	Question 2; proposed 1010.668(b)(2), (b)(5)(i)	Identify each CVC transfer by its transaction hash in the notice and in the records, and confirm that a return transfer or an issuer freeze is a permitted disclosure.	Every return and every issuer freeze is visible on the blockchain, so an address on FinCEN's non-public list becomes known once it is acted on.

Possible wording for the highest-priority changes:

- **Possible regulatory text, new sentence at the end of proposed 1010.668(a)(2):** "FinCEN may also identify convertible virtual currency addresses administered by or on behalf of an A7 Network Sub-Agent, and token contracts that represent A7A5, and make them available to covered financial institutions."
- **Possible regulatory text, new sentence at the end of proposed 1010.668(b)(1):** "For purposes of this paragraph (b)(1), a transmittal of convertible virtual currency involves an A7 Network Sub-Agent when an address that FinCEN has identified under paragraph (a)(2) of this section as administered by or on behalf of an A7 Network Sub-Agent is the sending or receiving address of the transmittal."
- **Possible regulatory text, new sentence at the end of proposed 1010.668(b)(4):** "For transmittals of convertible virtual currency, such due diligence shall include screening the sending address, the receiving address, and the token contract of each transmittal against the addresses and token contracts that FinCEN has identified under paragraph (a)(2) of this section."
- **Possible regulatory text, new proposed 1010.668(b)(6):** "Permitted payment stablecoin issuers. A covered financial institution that is a permitted payment stablecoin issuer (i) shall not issue, redeem, convert, or hold payment stablecoins for or on behalf of an A7 Network Sub-Agent; (ii) upon receiving FinCEN's identification under paragraph (a)(2) of this section of an address administered by or on behalf of an A7 Network Sub-Agent that holds its payment stablecoins, shall promptly freeze that address, and in doing so is deemed to comply with paragraph (b)(1) of this section with respect to transfers from that address; and (iii) is not otherwise required by this section to monitor transfers of its payment stablecoins between other persons."
- **Possible regulatory text, replacing proposed 1010.668(b)(1)(i):** "(i) A covered financial institution will be deemed not to have violated this prohibition where, upon determining that it received convertible virtual currency that originated from an A7 Network Sub-Agent or from an account or CVC address administered by or on behalf of an A7 Network Sub-Agent, the covered financial institution, promptly after that determination: (A) if the convertible virtual currency is required to be blocked under any OFAC sanctions authority, blocks it and reports it to OFAC in accordance with 31 CFR part 501, without returning it; or (B) in any other case, prevents the intended Recipient from accessing the convertible virtual currency and returns it to the account or CVC address from which it originated or, where return is not technically feasible, holds it in an account that the intended Recipient cannot access and notifies FinCEN. (ii) A covered financial institution that complies with an obligation to block property or interests in property under any OFAC sanctions authority is deemed to comply with this section with respect to that property."

The recommendations are designed to fit FinCEN's pending payment stablecoin issuer rulemaking, which Tokenization Systems has commented on, rather than to conflict with it:

Issue	This proposal (proposed 31 CFR 1010.668)	Payment stablecoin issuer proposal (FINCEN-2026-0100)	Recommended alignment
Who is covered	"Covered financial institution" takes its meaning from 31 CFR 1010.100(t) (91 Fed. Reg. 63225).	Adds "permitted payment stablecoin issuer" to 31 CFR 1010.100(t) (91 Fed. Reg. 18593).	State in this rule what it requires of PPSIs (Recommendation 3).
Which transfers	"Transmittals of funds" means "the sending and receiving of funds, including convertible virtual currency" (91 Fed. Reg. 63225), with no further division.	Divides issuer activity into primary market and secondary market activity (91 Fed. Reg. 18585).	Use the primary and secondary market terms when applying this rule to PPSIs.
Tools for CVC	Receive, then block or return (proposed 1010.668(b)(1)(i)); few, if any, ways to reject before receipt (note 80).	Requires the technical capability to block, freeze, and reject transactions (proposed 1033.240(a), 91 Fed. Reg. 18604).	Treat an issuer's freeze of a listed address as compliance (Recommendations 3 and 4).
Address as the target	Reaches "any account or CVC address administered by or on behalf of an A7 Network Sub-Agent" (91 Fed. Reg. 63225).	A lawful order must specify "the payment stablecoins or accounts subject to blocking with reasonable particularity" (91 Fed. Reg. 18593); Tokenization Systems asked that "account" there include wallet addresses (FINCEN-2026-0100-0005, Recommendation 3).	Keep this rule's coverage of both accounts and addresses, and conform the issuer rule's definition of a lawful order to it.

Recommendation 1: Adopt the prohibition on transmittals of funds rather than special measures one through five (Question 1)

Tokenization Systems supports FinCEN's choice of measure. The proposal explains that special measure five "would not address the movement of funds outside of a strict correspondent or payable-through relationship," including because A7A5-related transactions "do not rely on the correspondent banking system" (91 Fed. Reg. 63217). The

President's Working Group on Digital Asset Markets reached the same conclusion in general terms in July 2025: "FinCEN has encountered limitations when applying its Section 311 authority to digital assets. Specifically, the fifth special measure is limited to correspondent or payable-through accounts, which do not translate to the digital asset industry." The Working Group added that because the newer authorities, section 9714 among them, use "certain transmittals of funds" instead of "correspondent or payable-through accounts," they "can be applied to both traditional finance and digital assets" (Report, at 116). FinCEN has used the same prohibition before for a CVC exchanger: its 2024 order on PM2BTC prohibits transmittals of funds "from or to PM2BTC, or from or to any account or CVC address administered by or on behalf of PM2BTC" (89 Fed. Reg. 82505). This proposal applies the authority the Working Group described to a network whose stablecoin operations bypass correspondent accounts by design.

The remaining recommendations concern how the chosen measure will operate for CVC. None of them would exempt a transmittal sent from or to an address FinCEN has identified as a Sub-Agent's, and Recommendation 4 changes only what an institution must do after it has received one.

Recommendation 2: Deliver Sub-Agent addresses, not only names, and state the minimum screening expected for convertible virtual currency (Question 3)

The proposal describes the expected due diligence as "an appropriate screening mechanism to identify a transmittal of funds that involves any A7 Network Sub-Agent as an originator or beneficiary or otherwise references any A7 Network Sub-Agent in a manner detectable under the covered financial institution's normal screening mechanisms," which could include "commercially available software programs used to comply with the economic sanctions programs administered by the OFAC" (91 Fed. Reg. 63219). That description fits a wire transfer, whose payment message names an originator and a beneficiary. It does not fit a transfer of CVC. A token transfer on a blockchain identifies a sending address, a receiving address, and the token's contract; it carries no name to screen. Where the transfer comes from an unhosted wallet, which is where FinCEN reports that A7A5 "has been consolidated" (91 Fed. Reg. 63214), there is no sending institution to supply originator information, so none comes with the transfer. A covered institution that screens CVC transfers against a list of Sub-Agent names will detect nothing unless the list tells it which addresses each Sub-Agent administers. That is exactly the fact on which the prohibition turns: proposed section 1010.668(b)(1) reaches transmittals "from or to any account or CVC address administered by or on behalf of an A7 Network Sub-Agent" (91 Fed. Reg. 63225).

A list of addresses should also be unusually effective in this case. FinCEN reports that after an alleged hack of the digital asset exchange Grinex in April 2026, "A7A5 has been consolidated into unhosted wallets" (91 Fed. Reg. 63214), and the analysis the proposal cites for that statement (note 56) reports that one wallet holds 94.5 percent of A7A5's

supply on Tron, and that the top four addresses hold 99.2 percent of it. With the supply on Tron that concentrated, a short list of addresses can identify where nearly all of it is held.

The proposal anticipates that FinCEN will provide information about known Sub-Agents through the FI-Portal and "proposes limiting the obligation on covered financial institutions to prohibit certain transmittals only as to those entities identified on that list" (91 Fed. Reg. 63218). Because proposed paragraph (a)(2) identifies entities only, the final rule should also provide that FinCEN may identify the addresses and token contracts themselves, as in the possible regulatory text above. The final rule, or its preamble, should state that for CVC the list will identify:

1. the known CVC addresses that each Sub-Agent administers, together with the blockchain on which each address exists;
2. the token contracts FinCEN treats as A7A5, including the wrapped or derivative representations that, in FinCEN's words, "U.S. financial institutions may encounter" (91 Fed. Reg. 63214), because a screen limited to the two original A7A5 contracts listed in note 46 will not detect a representation on another blockchain;
3. the date on which each entry was added or last confirmed; and
4. all of the above in a machine-readable format that institutions can load directly into the address-screening tools they already use for sanctions compliance.

These entries would reach institutions the same way as the list itself. FinCEN would share the list through the FI-Portal, "a secure messaging system that FinCEN and covered financial institutions utilize to securely exchange information," and only with covered financial institutions (91 Fed. Reg. 63218), so adding addresses and token contracts would not widen its distribution (see also Recommendation 5).

The token contracts in item 2 matter because value can move without any transfer of the token a screen is watching. TRM Labs attributes the October 29, 2026 theft from Binance to a North Korean state-sponsored unit, and it reports that the laundering of the proceeds used a TRON method that "passes value between wallets as a lending receipt token, which hides the link from any trace that follows only USDT." That case involves a different network; it shows only that a screen limited to the original token can miss value carried in a token that stands for it.

The final rule should also state the minimum screening expected. For CVC, a covered institution should satisfy proposed section 1010.668(b)(4) by screening the sending address, the receiving address, and the token contract of each CVC transmittal it sends or receives against the list, and the prohibition should reach a transmittal in which a listed address is the sending or receiving address. Funds that passed through a listed address at some earlier point, and reached a customer from an address that is not on the list, should be handled through the risk-based due diligence the proposal already describes and through existing suspicious activity reporting, which the proposal expressly preserves, rather than as an automatic violation of paragraph (b)(1). Without that limit, "involving any A7 Network Sub-Agent" has no stopping point on a public blockchain, where the history of any token can be traced back through many prior holders.

Tokenization Systems raised the same concern, that an obligation be checkable in practice,

on the payment stablecoin issuer proposal, where it asked that block and freeze capability be verified in operation rather than presumed from the existence of a function (FINCEN-2026-0100-0005, Recommendation 2). A screening obligation cannot be tested if institutions are not given the addresses to screen against, and examiners cannot check compliance with one that has no limit on its reach.

Recommendation 3: State what the prohibition requires of payment stablecoin issuers, which become covered financial institutions by cross-reference

When FinCEN finalizes the payment stablecoin issuer rule, PPSIs will become covered financial institutions under this rule, as explained above. That rule implements the direction in the GENIUS Act, the 2025 federal stablecoin statute, that a permitted payment stablecoin issuer "shall be treated as a financial institution for purposes of the" Bank Secrecy Act (91 Fed. Reg. 18593). The proposal does not say what it would then require of them, and its definitions leave the question open. It defines transmittals of funds as "the sending and receiving of funds, including convertible virtual currency" (91 Fed. Reg. 63225) and prohibits a covered institution from "engaging in" a transmittal involving a Sub-Agent. Two kinds of issuer activity fit those words differently, and FinCEN's own issuer proposal already draws the line between them. It uses "primary market" to describe a PPSI "interacting directly with a user or holder of a payment stablecoin, such as when a PPSI engages in issuing, converting, redeeming, repurchasing, burning, and reissuing payment stablecoins," and "secondary market" to describe "payment stablecoin activity that does not directly involve the PPSI as a party" (91 Fed. Reg. 18585).

Primary market activity for a listed Sub-Agent is plainly a transmittal the issuer engages in. A transfer of the issuer's stablecoin between two other parties is not, on the issuer proposal's own terms, a transaction to which the issuer is a party. It is, however, a transfer the issuer can stop. The GENIUS Act requires a permitted issuer to have the technical capability to block, freeze, and reject specific or impermissible transactions (12 U.S.C. 5903(a)(5)(A)(iv)), which the issuer proposal would implement at proposed 31 CFR 1033.240(a) (91 Fed. Reg. 18604). The President's Working Group described the same feature: "A unique feature of stablecoins is that stablecoin issuers can coordinate with law enforcement to freeze and seize assets to counter illicit use" (Report, at 91). FinCEN's finding about A7A5 shows why it matters here. A token that cannot be frozen protects its holder from a freeze only while the value stays in that token. Once the value is converted into a freezable dollar stablecoin, that stablecoin's issuer can stop it before the next transfer, which no receiving institution can do. As drafted, the issuer's freeze plays no defined role in the proposal: the only CVC tool in the regulatory text is a receiving institution's action after receipt.

Tokenization Systems' recommended default has three parts:

1. **Primary market.** A PPSI should be prohibited from issuing, redeeming, converting, or holding payment stablecoins for or on behalf of a listed Sub-Agent. On any reading, these are transmittals the issuer engages in.

2. **Targeted freeze of listed addresses.** On receiving FinCEN's identification of a Sub-Agent address that holds its payment stablecoin, a PPSI should freeze that address promptly. That is a targeted action on an address FinCEN has identified, of the kind the GENIUS Act's capability requirement exists to support, and it is the only step available for CVC that acts before the next transfer rather than after it.
3. **No blanket secondary market monitoring.** The rule should say that a PPSI is not otherwise required to monitor transfers of its payment stablecoin between other persons for Sub-Agent involvement. This would not narrow the issuer proposal, under which the obligation to have block, freeze, and reject capabilities "extends beyond a PPSI's customers and accounts, i.e., to secondary market activity" (91 Fed. Reg. 18604). It limits only what this section requires, which is why the possible regulatory text above says "by this section."

This default mirrors the position Tokenization Systems took on the issuer proposal. That position supported applying block, freeze, and lawful-order capability to secondary market activity while recommending a graduated approach rather than a blanket secondary market reporting obligation (FINCEN-2026-0100-0005, Recommendations 2 and 5). If FinCEN prefers not to mandate the freeze in this rule, the final rule should at least provide that a PPSI that freezes a listed address is deemed to comply with paragraph (b)(1) as to transfers from that address, so that an issuer acting on a non-public list is not left to guess whether it has gone beyond what the rule requires.

A freeze capability is only as useful as the issuer's knowledge of which address to freeze, which is why the rule should state that a PPSI is expected to freeze a listed address and FinCEN should supply the address. After about $6.36 billion left Binance wallets on October 29, 2026, TRM Labs reports that "Tether, Circle, Ripple, World Liberty Financial, and the Arbitrum Security Council froze nearly USD 2.7 billion," and observes that freezes "depend on how fast an issuer or exchange learns an address is tainted." That theft was public. By contrast, an issuer learns of a Sub-Agent address on a non-public list only if FinCEN delivers it. Without a known target, a freeze function can go almost unused.

Before that theft, in the author's review of blockchain records for a single dollar-denominated stablecoin across the six blockchains on which it is natively issued (measured July 18, 2026), the issuer held an active freeze or restriction function on every chain, consistent with the GENIUS Act's requirement that a permitted issuer have the technological capability to comply with lawful orders. That function had been exercised once, against a balance of one dollar on one chain, and the full histories of four of the other chains showed no freezes at all. The measurement describes one product as it operated on that date; it is offered to illustrate the difference between holding a freeze capability and using it, not as a claim about any permitted payment stablecoin issuer.

Recommendation 4: Put in the regulatory text the preamble's rule that OFAC blocking counts as compliance, and separate blocking from returning in the CVC safe harbor

The preamble twice states that where an obligation to block under existing OFAC sanctions appears to conflict with this measure, covered institutions "should comply with the obligation to block and, in doing so, would be deemed to comply with the requirements of this proposed special measure" (91 Fed. Reg. 63216; see also 91 Fed. Reg. 63218). The regulatory text has only a narrower version: it covers only CVC already received, and it sits in the ambiguous sentence discussed next. The general rule appears only in the preamble. Note 1 to paragraph (b)(1) tells institutions to block and report to OFAC (91 Fed. Reg. 63225 to 63226), but it does not say that doing so satisfies the prohibition.

The gap matters because of how proposed section 1010.668(b)(1)(i), the safe harbor, is drafted. It deems an institution compliant where, having received CVC from a Sub-Agent, it "if required under other authorities, blocks the CVC or rejects the transaction, preventing the intended Recipient from accessing such CVC and returning the CVC to the A7 Network Sub-Agent, or to the account or CVC address from which the CVC originated" (91 Fed. Reg. 63225). The sentence can be read so that "if required under other authorities" governs rejection as well as blocking, which would confine the safe harbor to cases where some other authority already requires action. It can also be read so that returning the CVC is required in both cases, which would require sending back property that OFAC sanctions require the institution to hold, the very conflict the preamble's rule resolves.

Both readings come from one inserted phrase. FinCEN's 2024 order on PM2BTC deemed an institution compliant where it "rejects the transaction, preventing the intended recipient from accessing such CVC and returning the CVC to PM2BTC, or to the account or CVC address from which the CVC originated" (89 Fed. Reg. 82505). The proposal carries that sentence over with the A7 Network Sub-Agent in place of PM2BTC and inserts "if required under other authorities, blocks the CVC or" before "rejects," so the words about returning the CVC now follow both "blocks" and "rejects." The preamble describes the paragraph as allowing institutions "the flexibility to act with discretion based on the facts and circumstances of a particular transaction and comply with the proposed prohibition, even where the originating address is no longer accessible" (91 Fed. Reg. 63218), but the regulatory text says nothing about what an institution should do when return is not possible.

The conflict is not hypothetical here. The proposal records that OFAC designated the A7 Network itself on October 1, 2026, under Executive Order 13581 (91 Fed. Reg. 63209, note 1). OFAC's notice of that action blocks all property and interests in property of the network that are subject to U.S. jurisdiction, and it lists the network alone, with no Sub-Agent and no CVC address (91 Fed. Reg. 63664). CVC sent from a Sub-Agent's address may or may not be property in which the designated network has an interest. An institution will therefore have to decide, at the moment it acts, whether to block or to return, and only a rule that separates the two courses lets it block without returning.

The final rule should separate the two courses, as in the possible regulatory text above: where OFAC blocking applies, block and report without returning; in any other case, prevent the Recipient's access and return the CVC to the originating address, or, where return is not technically feasible, hold it where the Recipient cannot reach it and notify FinCEN. That notice would be a narrow exception to proposed paragraph (b)(5)(ii), which otherwise requires no reporting beyond what other law requires, and it would be limited to the case the preamble already anticipates. The rule should require the action promptly after the institution determines that it received the CVC from a Sub-Agent, and should put the preamble's deemed-compliance sentence in its own paragraph. Because willful violations of the final rule may be subject to criminal penalties under 31 U.S.C. 5322 (91 Fed. Reg. 63219), an institution should be able to find in the regulatory text, not only in the preamble, which course satisfies the rule.

Returning CVC to a Sub-Agent's address sends value back to the network the rule aims to cut off from covered financial institutions. Where no blocking authority applies, return may be the only lawful course, but that downside can be reduced at little cost to institutions: FinCEN should invite covered institutions to share, through the FI-Portal, the transaction hash of each CVC transfer they return or hold. A return shows that a Sub-Agent address is in use at that moment, and that is the information FinCEN needs to keep the list current and to pass to issuers that can freeze the address. Because the sharing would be voluntary, it would not conflict with proposed paragraph (b)(5)(ii), which imposes no new reporting.

Recommendation 5: Identify CVC transfers by transaction hash in the notice and records, and treat returns and freezes as permitted disclosures (Question 2)

Proposed section 1010.668(b)(2) requires notice to "affected persons associated with the transmittal of funds with which the covered financial institution maintains a direct commercial relationship" (91 Fed. Reg. 63226). For CVC, that person will usually be the institution's own customer, the intended Recipient. A notice that says only that a transfer was rejected leaves the customer unable to tell which of many incoming transfers is meant. For CVC, the notice should identify the incoming transfer by its transaction hash, state whether the CVC was returned or blocked, and give the hash of any return transfer. The documentation required by proposed paragraph (b)(5)(i) should retain the same hashes. Institutions that process CVC transfers already record these hashes, so the cost is negligible, and the records can be checked against the public blockchain, which shows the same hashes.

FinCEN proposes to keep the Sub-Agent list non-public because "a broader public distribution of the list would undermine the purposes of the proposed rule" (91 Fed. Reg. 63218), while confirming that covered institutions "would not, however, be prohibited from disclosing that, in the context of any particular transaction, they have declined to proceed with the transaction" because a party is on FinCEN's list (91 Fed. Reg. 63218). On a public blockchain, the actions this rule contemplates are themselves disclosures. A return transfer goes to the listed address and is visible to anyone, the Sub-Agent included. A

stablecoin issuer's freeze is recorded on the blockchain as an event that names the frozen address; the single freeze counted in Recommendation 3 was found exactly that way, from a public event log. The final rule should therefore:

1. confirm that a return transfer, and an issuer's freeze of a listed address, are permitted disclosures of the kind the preamble describes; and
2. plan list maintenance on the assumption that any address acted upon becomes known to the network, updating address entries frequently (the proposal already contemplates updates: "That list will be updated periodically," 91 Fed. Reg. 63218) and treating a listed address that stops being used after an action as the expected result rather than as an error.

None of this undercuts FinCEN's reason for a non-public list. Which companies are Sub-Agents stays non-public; only an address that has been acted on becomes known, and the network would have to abandon that address anyway.

Technical corrections to the proposed regulatory text

1. Proposed section 1010.668(a)(1) names "Independent Decentralize Finance Smartbank and Ecosystem" (91 Fed. Reg. 63225), while the preamble names "Independent Decentralized Finance Smartbank and Ecosystem" (91 Fed. Reg. 63210). Institutions will screen against the codified text, so the codified spelling should be conformed to the preamble's.
2. Proposed section 1010.668(a)(3) says "for the purpose of this NPRM." A final rule should say "for purposes of this section."
3. The second sentence of proposed section 1010.668(a)(3), "Despite having legal tender status in at least one jurisdiction, for the purpose of this NPRM, the A7A5 stablecoin is included as a type of CVC" (91 Fed. Reg. 63225), does not make clear what has legal tender status. A definition that identifies A7A5 by the two token contract addresses already given in note 46 (91 Fed. Reg. 63213), and that expressly reaches wrapped, bridged, or derivative representations of A7A5, would be clearer and would match the list content proposed in Recommendation 2.

Conclusion

Tokenization Systems supports finalizing the prohibition. The changes recommended here are meant to make it as workable for convertible virtual currency as it is for wire transfers: a list that gives the addresses and token contracts a blockchain transfer actually shows, a stated role for the issuers that can freeze a listed address, a safe harbor that says separately when to block and when to return, and notices and records that identify each transfer by its transaction hash, so they can be checked against the public blockchain. Tokenization Systems would be glad to provide the measurement method described in Recommendation 3.

Respectfully submitted,

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Appendix: Sources

Rulemaking of record

- Proposal of Special Measure Prohibiting the Transmittal of Funds Regarding Transactions Involving the A7 Network's Sub-Agents, 91 Fed. Reg. 63208 (Oct. 5, 2026), FR Doc 2026-20371, Docket FINCEN-2026-0265, RIN 1506-AB77 (proposed 31 CFR 1010.668).

Prior order and related sanctions action

- Imposition of Special Measure Prohibiting the Transmittal of Funds Involving PM2BTC, 89 Fed. Reg. 82499 (Oct. 11, 2024), FR Doc 2024-23430; order text at 89 Fed. Reg. 82505.
- Office of Foreign Assets Control, Notice of OFAC Sanctions Action, 91 Fed. Reg. 63664 (Oct. 6, 2026), FR Doc 2026-20395 (designation of the A7 Network, issued October 1, 2026).

Related rulemaking

- Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements, 91 Fed. Reg. 18582 (Apr. 10, 2026), FR Doc 2026-06963, Docket FINCEN-2026-0100, RIN 1506-AB73; in particular 91 Fed. Reg. 18585 (primary market and secondary market), 18593 (amendment of 31 CFR 1010.100(t); definition of lawful order), and 18604 (proposed 31 CFR 1033.240(a)).

Statutory authority

- Section 9714(a) of the Combating Russian Money Laundering Act, Public Law 116-283, as amended by section 6106(b) of Public Law 117-81 (note to 31 U.S.C. 5318A); 31 U.S.C. 5318A(b)(1) to (5).
- Guiding and Establishing National Innovation for U.S. Stablecoins Act, Public Law 119-27, 139 Stat. 419 (2025), codified at 12 U.S.C. 5901 to 5916; in particular 12 U.S.C. 5903(a)(5)(A)(iv) (technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions) and 5903(a)(6)(B) (technological capability and compliance with lawful orders).

Official-sector source

- President's Working Group on Digital Asset Markets, Strengthening American Leadership in Digital Financial Technology (July 2025), at 91 (stablecoin issuers can

coordinate with law enforcement to freeze and seize assets) and at 116 to 117 (limits of the fifth special measure for digital assets, and the recommendation for a special measure reaching transmittals of funds).

Analysis cited in the proposal

- Hannah Curtis, Crystal Intelligence, "One wallet now holds 94.5% of A7A5's supply" (July 30, 2026), cited in the proposal at note 56 (supply concentration on Tron).

Other analysis

- TRM Labs, "Binance Hack Update: North Korea Launders Proceeds Through Self-Minted Tokens and Chained Bridges" (November 3, 2026) (freezes after the October 29, 2026 theft from Binance, and laundering through a lending receipt token on TRON).

Prior comments of Tokenization Systems cited

- Comment on Docket FINCEN-2026-0100 (filed April 18, 2026; posted as FINCEN-2026-0100-0005), Recommendations 2, 3, and 5; supplemental comment posted as FINCEN-2026-0100-0075.
- Comment on Docket FINCEN-2026-0101 (filed August 21, 2026; posted as FINCEN-2026-0101-0060).

Author's on-chain measurement

- Freeze-function inventory and exercise history for a single dollar-denominated stablecoin across the six blockchains on which it is natively issued, measured July 18, 2026 from public contract state and event logs (Blockscout, Dune Analytics, and direct node queries). Offered to illustrate the difference between holding a freeze capability and using it, not as a claim about any permitted payment stablecoin issuer.